

IJV hypotheses and data: options for gate 4

2026-10-10

Prepared 10 October 2026 for Arne Floh, Alexander Mohr and Can Thanyi. Gate 4 (pilot feasibility) is pending; this note covers its first decision: what to do with H1, H3 and H5.

The problem

Our hypotheses measure integration through who staffs the IJV. H2 and H4 are about localization: local staff versus parent-origin staff. H1, H3 and H5 are about cross-partner integration: staff from both parents working together in a function or at a level.

The Orbis and Revelio pilots show that parent-origin staff are almost invisible in Revelio. In the pilot of large IJVs they make up 2.3 percent of person-years, and not one IJV shows employees from both parents. Matching quality and IJV size do not explain this. A likely reason is that seconded managers list the parent, not the IJV, as their employer, so Revelio files them under the parent; the data cannot confirm this. Localization, by contrast, is measurable at the function and seniority level in a large sample.

What BoardEx adds

BoardEx (on WRDS, already licensed) records directors and senior managers with their full career histories. We checked it against the main sample on 10 October. With a country-confirmed name match, 2,537 of the 7,460 IJVs (34 percent) are in BoardEx. Where an IJV is covered, on average a quarter of its senior people have held a role at one of the parents (median zero). This supports the secondment explanation: parent people exist, but at the top, and often as board members who represent a parent. Coverage is best for North America and East Asia and weakest for Central and Eastern Europe.

Options

Option	What changes	Sample	Assessment
A. Localization only	Restate H1, H3 and H5 in localization terms, for example that coordination-dependent functions and higher levels are less localized, and that coordination levels stay less localized after the shock. Orbis and Revelio only.	7,460 IJVs (2,172 strategic); 9,644 as an upper bound for robustness	Largest sample and one consistent source across functions and levels; all five hypotheses become testable. The cost is a narrower construct: integration becomes the inverse of localization rather than staff from both partners working together.
B. A plus a BoardEx supplementary analysis (recommended by the data engineer)	Main analysis as in A. A second analysis uses BoardEx to test parent representation among senior people, a top-level version of H3 and H5.	Main: 7,460. BoardEx: 1,207 IJVs with at least one parent-linked senior person (583 strategic); 279 with senior people linked to both parents (190 strategic)	Keeps a direct measure of parent presence where it is visible and lets us ask whether parents keep senior people in the IJV after the shock. Costs: a second source and more matching, the top level only, board seats are closer to governance than to functional integration, and coverage is selective.
C. Cross-partner integration on BoardEx	Keep H1, H3 and H5 as stated, tested on BoardEx people.	At most 279 IJVs (190 strategic); only 107 have one person who held roles at both parents	Closest to the original construct, but small and selective. There are no functions and only one level, so H1 and H3 as stated cannot be tested. Not recommended.

Option	What changes	Sample	Assessment
D. Keep everything as is	Original hypotheses on Revelio.	Practically no IJVs with staff from both parents	Not feasible.

Caveats

- The BoardEx numbers come from name matching with a head-office-country check. A spot check of 30 random matches looked right; 156 matches without a country confirmation are excluded. Some “both parents” cases are two units of one group that the Orbis rule missed, so 279 and 107 are upper bounds.
- 212 of the 7,460 IJVs were matched by an agent triage and have not yet been checked by a person.
- Formation dates: 19.9 percent of main-sample IJVs were incorporated before 1990 and 54 percent before 2005, so for many the panel starts mid-life.
- The China coercion (86 IJVs) and Russia (40) exposure groups are thin under every option; this matters for the choice of shock at gate 5a.

Decision needed

Choose A, B or C at gate 4, decision 1. The remaining gate 4 decisions (frame rules, country basis, sample definition, review tier, SDC) are listed in `reviews/gate-4-pilot.md` in the repository.